



City Council – June 23, 2026

*Budget Adoption for the FY 2026-27 Budget and
FY 2026-28 Biennial Capital Improvement Program*

Tonight's Action – Housing Authority Board

Recommended Action

1. Adopt a Resolution adopting the FY 2026-27 Operating Budget ([Action 1](#))

Revenues

FY 2026-27:
~\$31 million

Operating Expenditures

FY 2026-27:
~\$31 million

Staffing

FY 2026-27:
16.0 Permanent FTE

Agenda – FY 2026–27 Budget Adoption Hearing

- FY 2026–27 Operating Budget
- FY 2026–28 Biennial Capital Improvement Program Budget – and adjustments
- Aquatics Fees
- Recommended Actions

The Biennial Budget

FY 2025-27 Operating Budget

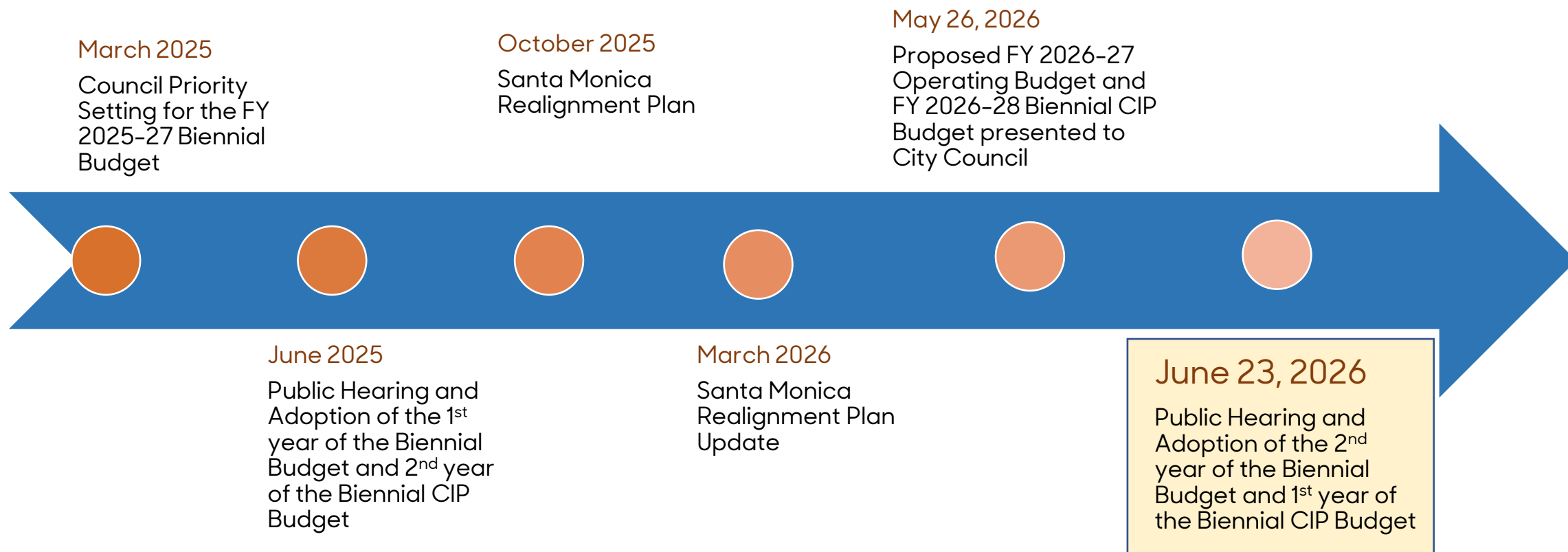
- Adopt Year 2: FY 2026-27

FY 2026-28 Capital Budget

- Adopt Year 1: FY 2026-27
- Approve Year 2: FY 2027-28

Santa Monica's Budget Process

The Budget is the result of collaboration between the community, City Departments led by the City Manager's Office, and the City Council



FY 2026-27 Citywide Budget

Budget represents a major reset of the City's capital program that launches long-deferred investments from Memorial Park to Pier and major-event infrastructure, facility renewals, parks improvements, mobility and Vision Zero projects, and upgrades at the Annenberg Community Beach House.

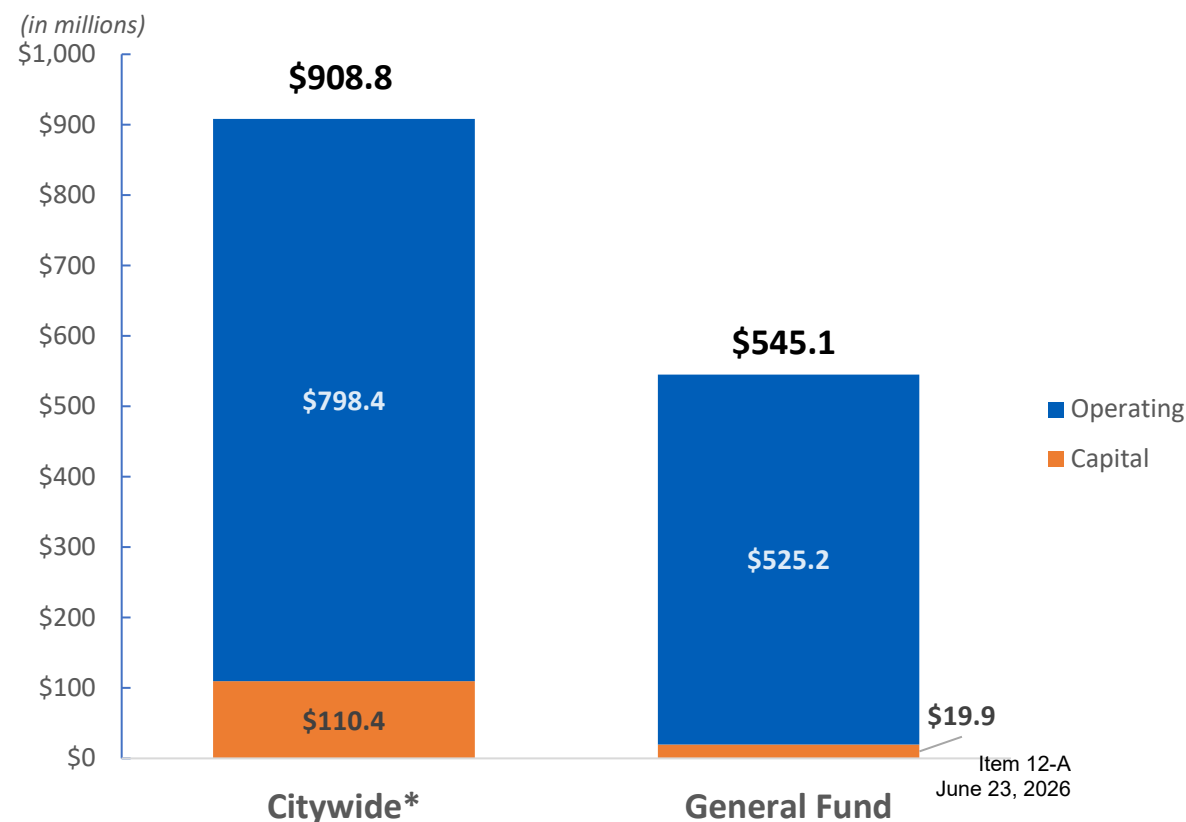
Citywide Expenditures - \$908.8 million*

- Operating \$ 798.4
- CIP \$110.4
- Total FTEs = 2,287.6

General Fund - \$545.1 million

- Operating \$525.2
- CIP \$19.9
- Total FTEs = 1,500.9

*Citywide expenditures are net of reimbursements and transfers between funds



CIP Final Changes – Other Funds

Three CIP Adjustments

- 1) Santa Monica Neighborhood Greenway Project advanced into FY 2026-27
 - Consistent with Council direction, the project has been advanced from FY 2027 28 into FY 2026 27, along with its associated grant funding
- 2) Acceleration of 4th Street Transit Priority Improvements
 - In support transit efficiency and reliability ahead of LA28
- 3) Funding refinement for AHSC-supported project in FY2027-28
 - To reflect updated schedule and a refined distribution of costs

Aquatics Fees

Fee increases are equitable and prioritize youth and residents

- Aquatics fees have not increased since 2021, and similar adjustments are proposed across most Aquatics programs and other RAD services
- Over 90% of current permitted aquatics groups pay the Santa Monica Based Non-Profit Rates (proposed \$6.50 youth and \$12 adults)

Per Lane, Per Hour	Current Fee	Proposed Fee	Fee Increase	% Increase	Projected Total Revenue Impact
Aquatics Permit – Youth (SM)	\$6.00 Short \$12.00 Long	\$6.50 Short \$13.00 Long	\$0.50 \$1.00	8%	\$16,563
Aquatics Permit – Adult (SM)	\$11.00 Short \$22.00 Long	\$12.00 Short \$24.00 Long	\$1.00 \$2.00	9%	\$11,994

Santa Monica rates are comparable to other nearby cities

- Few agencies offer swim lane rentals to permit groups. Santa Monica's lane rental rates, even with the proposed increases, remain below nearby cities that offer this service, including the cities of Torrance, El Segundo, and the general pool lane rentals in City of Long Beach.
- For most adult swim lane permit groups, the proposed increase (approx. \$1 per lane hour) results in a nominal increase per swimmer since lanes are typically shared by 4–6 swimmers

Recommended Actions (4 Motions)

City Council and Parking Authority: Resolutions

1 – Adopting the FY 2026–27 Operating Budget, and Adopting the first year and Approving the second year of the FY 2026–28 Biennial Capital Improvement Program (CIP) Budget ([Actions 2 and 3](#))

City Council: Annual Resolutions, Policy Update, CEQA Findings

2 – Adopting Annual Resolutions ([Actions 4–9](#))

3 – Authorizing amendment to City's Fiscal Policies ([Action 10](#))

4 – Adopting CEQA findings ([Action 11](#))